JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

41 U.S.C. 3304(a)(1)

Date: March 6, 2026

I. AGENCY IDENTIFICATION:

General Services Administration (GSA)
Acquisition Facility Management Contracting Division - West (PQFA)
Denver Federal Center, Bldg. 41, Rm. 288
Denver, CO 80225-0546

II. NATURE/DESCRIPTION OF ACTION BEING APPROVED:

The General Services Administration (GSA), Public Buildings Service (PBS), proposes to contract the requirements for full facilities services, as described herein, as a sole source action to award a bridge contract to Phoenix Management, Inc. (PMI). Contracting by means of other than full and open competition is authorized by FAR 6.103 (RFO-2025-06) and is supported by this justification prepared in accordance with FAR 6.104 (RFO-2025-06).

III. DESCRIPTION OF SUPPLIES/SERVICES REQUIRED TO MEET AGENCY REQUIREMENTS:

GSA, PBS requires full facilities services including, but not limited to, operations & maintenance (O&M), custodial services (except for the Battin U.S. Courthouse), integrated pest management, grounds maintenance, landscaping, snow removal, and other facility services at the following Federal properties in Montana—

- James F. Battin U.S. Courthouse, 2601 2nd Avenue North, Billings, MT 59101
- Federal Building and U.S. Post Office, 10 E Babcock Street, Bozeman, MT 59715
- Mike Mansfield Federal Building and U.S. Courthouse, 400 N Main Street, Butte, MT 59701

The term of the bridge contract includes a five month base and monthly options to extend the term of the contract up to an additional seven months (total potential duration of twelve months). The prime contractor is responsible for the management and supervision of all subcontractors. The contractor must develop and utilize a quality control program and execute its services to achieve the performance standards established in the performance work statement. The work includes all management, supervision, labor, subcontracts, materials, equipment, tools, and supplies to effectively, efficiently, and economically perform the full facility services at the above Federal properties in Montana.

Generally, the full facilities services includes, but is not limited to, work with mechanical systems and equipment, HVAC systems, chiller systems, boiler systems, cooling towers, water treatment, fixtures, electrical systems and equipment, lighting, energy management control systems, switchgears, photovoltaic systems and electrical vehicle support systems, plumbing, sanitary sewage systems, storm drainage systems, architectural systems, controls, building automation systems, advanced metering systems, fire protection and life safety systems, perimeter access control system components, emergency generators, transfer switches, oil analysis and changes, structural systems, custodial services, snow and ice removal, landscaping and grounds maintenance, waste management, interior and exterior window washing, and integrated pest management services. Vertical transportation systems are excluded from the project, but the contractor is responsible for maintenance of elevator associated equipment and systems (such as fire protection equipment and systems, ventilation and exhaust systems within hoist ways, elevator lobbies, and elevator machine rooms).

The work requires the contractor to complete all scheduled and unscheduled maintenance and repair work of building equipment and systems. The work includes services for all building systems and equipment, unless otherwise specified, to maintain a safe and healthy environment operating within normal parameters. Work includes service requests to keep the facility and equipment operational, properly maintained, safe, and in good working condition. The contractor must perform predictive and preventative maintenance to meet the standards outlined in the requirements. Generally, the standards are a combination of equipment manufacturers' recommendations, PBS O&M standards, sensor technology, diagnostic software, the contractor's experience and plans, and other sources. The contractor must manage service calls within the national computerized maintenance management system (NCMMS) to include all required record keeping using a NCMMS as well as other administrative functions.

Additional work for unknown quantities and unscheduled activities may include correction of equipment problems, adjustments to systems and equipment controls and parameters, unscheduled maintenance, minor building systems and equipment repairs, systems testing outside regularly scheduled services, systems and equipment diagnostics, responses to emergency situations to maintain and preserve assets, and above standard (or additional) custodial services. The contractor shall be responsible for the management of work orders and respond to service requests to take corrective action. The nature of some service requests may be identified as an emergency and require the contractor to respond outside of normal working hours. The Government requires the contractor to have capacity to respond to emergency requests to correct equipment, infrastructure, or system failures that constitute an immediate danger to life or property.

See the National Specification for Complete Facilities Maintenance attachment.

IV. STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION:

It is proposed to negotiate and award this acquisition under the authority of 41 U.S.C. 3304(a)(1), as implemented by FAR 6.103-1 (RFO-2025-06), "Only one responsible source and no other supplies or services will satisfy agency requirements."

V. PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS/NATURE OF ACQUISITION:

The existing Contract No. 47PJ0019D0009 with Phoenix Management, Inc. (PMI) expires on April 30, 2026, and GSA, PBS does not anticipate a contract for continued facility support services to be in place until at least October 1, 2026. This bridge in services is required until a longer-term solution is awarded through a competitive process. PMI is uniquely positioned to satisfy the Government requirement as the incumbent contractor at the Montana Federal properties because of its specialized knowledge of the facilities, tailored quality management program, and resources already deployed to the facilities.

As the incumbent contractor, PMI has accumulated specialized knowledge of the building systems and equipment at the three Federal properties in Montana. This specialized knowledge is essential to reduce short-term friction common with the transfer of contractual responsibilities for the facilities maintenance and operations activities. Typically, the transition phase and longer contract duration for these types of facilities services contracts provides the opportunity for inspections, quality assurance, and corrective actions to smooth out potential issues with contractor performance inefficiencies, operational processes, service delivery, procedures, and resource allocation. Except for PMI, five months is an insufficient amount of time for a business entity to gain specialized knowledge of the site requirements and feedback from oversight and corrective measures needed to make adjustments to successfully meet the performance requirements. Accordingly, it is not in the Government's interest to assume risks such as—

- insufficient time for a comprehensive risk assessment for incoming contractor;
- insufficient time to develop job plans for preventative maintenance and predictive maintenance activities;
- lack of continuity in services because of the limited time to learn facility systems, operational processes and procedures, and site-specific requirements; and
- multiple changes between contractor in a compressed timeframe significantly increases the Government's risk exposure for potential losses or gaps in historical data and accurate details on the inventory of assets, building operating plans, warranties, and other documentation.

A facilities contractor requires time to develop an effective quality management program and the required various preventative maintenance and predictive maintenance activities. Although facilities contractors typically have a general framework in place for these requirements, it takes time to customize and tailor these programs, processes, and activities to the specific contract requirements. As the incumbent contractor, PMI's familiarity and specialized knowledge of the existing conditions are essential to successfully meeting the contract requirements in such a short time frame. The nature of the acquisition exposes any other source besides PMI to a high risk of failure in executing the required services at an acceptable level required to operate, maintain, and manage the building systems, equipment, and assets. PMI has met performance expectations on the existing contract to provide confidence that PMI could continue to meet these performance standards on a bridge contract. The duration of five-months is simply too short a timeframe for any other facilities contractor to successfully meet these contract requirements without a significant level of risk to the Government.

Lastly, PMI has already invested resources into personnel, equipment, tools, materials, and supplies that uniquely positions it to bridge these services for five months. The incumbent contractor has a unique competitive advantage that could not be reasonably overcome through a competitive acquisition process. Although PMI assumes some risks with a short term contract, the incumbent contractor is in a unique position to mitigate risks because of existing knowledge of the project site, understanding of the performance standards, and current mobilization of resources. GSA, PBS, has identified significant costs that would be incurred to transition a new contractor into the position currently managed by PMI. Based on a preliminary review, it is impractical for a new contractor to recover these costs over the course of five months without significant premiums incurred by the Government. Identified costs include, but are not limited to, the following:

- security clearances;
- mobilization costs;
- hiring and training costs;
- purchasing equipment, tools, communications devices, subscriptions, and supplies;
- inspection of the existing site conditions and gaining familiarity as part of institutional knowledge at the corporate level;
- development of preventative and predictive maintenance activities;
- development of a quality control program and tailoring to the specific systems and equipment; and
- other startup costs.

VI. Efforts to Obtain Offers from as Many Sources as Practicable:

Phoenix Management, Inc. is the only source mobilized in the area that can provide this bridge in services for an additional five months, and potentially an additional seven months, because of its unique position as the incumbent contractor with specialized knowledge of site-specific requirements. It is highly unlikely that any other contractor could reasonably overcome the initial startup costs over a five-month period and achieve successful performance of the contract requirements without a significant amount of risks. Additionally, GSA, PBS does not know of any other sources that can satisfy the requirements for a five-month contract to achieve continuity of critical building operations and maintenance and other facility services. GSA, PBS intends to post a special notice to the System for Award Management, Contract Opportunities domain to determine whether there might be any interest in the competitive market in this high-risk requirement. The determination to not use a competitive process for the proposed contract action based upon responses, if any, to the published special notice is solely within the discretion of the Government. If the requirement is competed, there is a reasonable expectation that the Government would not receive a proposal from at least one other source for a five-month contract with monthly options to extend the term for potentially another seven months.

VII. DETERMINATION OF FAIR AND REASONABLE PRICING

It is determined that the estimated price for the services of [redacted] will be both fair and reasonable based upon:

1. the proposed and accepted scope of work and estimated level of effort to perform the services;
2. the professional opinion experience of the Government project team, and knowledge of the level of effort required for these particular services for the federally owned properties;
3. known labor rates, fringes, and benefits based on the applicable collective bargaining agreement and published wage determinations;
4. projections for increased costs due to inflation and price escalations;
5. contractor exposure to risks to continue servicing these facilities for a short duration; and
6. previous knowledge of the associated costs and level of effort to perform these services under the previous bridge contract extension on Contract No. 47PJ0019D0009 for the period of August 1, 2025 and April 30, 2026.

VIII. MARKET RESEARCH:

PMI is currently performing a bridge contract for full facilities services added through modification under the existing Contract No. 47PJ0019D0009. On June 3, 2025, GSA, PBS published a special notice on the System for Award Management (Notice ID MTFederalBuildings) for a bridge contract in full facility services at these Federal properties and did not receive any interest from industry. Accordingly, there is no reasonable expectation for industry to be interested in a new bridge contract for the exact same services required at the same Federal properties.

IX. OTHER FACTORS SUPPORTING THE USE OF THE CITED AUTHORITY:

Critical Building Services. The required services are critical to the preservation of building systems and equipment through efficient and economical operations. Furthermore, these required services are necessary to maintain a healthy and safe built environment. A lapse in these essential services is not a viable option because of the risk of property damage and the safety of building occupants. Additionally, these facility services are required to keep these Federal properties operationally effective to support the mission of critical Government functions such as the court system, law enforcement, and general public safety.

Update for Montana Acquisition Planning. In September 2025, there was a recurring service program update for Montana acquisition planning, which created new requirements, accelerating the timeline to combine the various properties across the Montana-Canadian border with the three Federal properties.

X. LISTING OF SOURCES EXPRESSING AN INTEREST IN THE ACQUISITION:

No other than the firms listed in Paragraph VI above.

XI. Efforts to Overcome Barriers to Competition:

A reasonable effort will be made to obtain offers from other sources through posting a special notice of the requirement on the System for Award Management (SAM). The Government does not anticipate receiving any interest in the requirement from alternative sources. If any interest is received from alternative sources, then the Government will assess the requested capabilities to determine the best method of procurement for the bridge in full facilities services.

Competitive Procurement for Montana Statewide Facilities Engineering and Full Facilities Services. GSA, PBS currently has a program requirement for facilities engineering and full facilities services across properties in the state of Montana consistent with the programmatic changes described in Section IX above. As described in the sources sought notice (Notice ID MTSatewideFullFacilites) the anticipated contract duration is for a one-year base, with nine one-year options with about a 60 days transition phase. The longer contract duration overcomes most, if not all, of the barriers to competition inherent with a short-term bridge contract. Accordingly, GSA, PBS anticipates using a competitive process to procure the Montana Statewide Facilities Engineering and Full Facilities Services.

XII. Contracting Officer Certification:

I certify that the information contained in and attached to this justification is accurate and complete to the best of my knowledge and belief.

Dylan White	[redacted]	3/6/2026 | 19:48:29 GMT
Contracting Officer	Signature	Date

XIII. Approvals:

Angel Leal	[redacted]	3/6/2026 | 19:49:46 GMT
Assistant General Counsel	Signature	Date
Jacqueline De Simone	[redacted]	3/6/2026 | 20:10:36 GMT
Competition Advocate	Signature	Date
Liliana DelBonifro	[redacted]	3/15/2026 | 22:24:18 GMT
Head of Contracting Activity	Signature	Date